

San Francisco Office Market Research Report | Q4 2024

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San Francisco Office Market Signals Recovery: Vacancy Rate Declines For The First Time Since 2019; Leasing Activity Hits 5-year High.



Applying the National Bureau of Economic Research's definition of the business cycle, the San Francisco office market reached its trough in Q4 2024, signaling the end of its recent recession. Leasing activity for the year exceeded 8.1 million square feet, the highest annual total since 2019, contributing to net absorption of 327K square feet in Q4 and a 50-

basis-point decline in the vacancy rate to 30.2%. Submarkets such as SOMA West and Civic Center/Mid-Market, which had experienced the largest occupancy declines during the downturn, led the recovery. There were eleven transactions of 100,000 square feet or more in 2024, up from just four in the prior year, underscoring renewed tenant confidence.

The sublease vacancy rate fell to 6.1%, its lowest level in two years. Effective rents increased both quarter-over-quarter and year-over-year, primarily driven by large lease transactions. However, effective rents in the Financial District fell slightly from the prior quarter, as the submarket had not faced the same degree of downward pressure in recent quarters. A significant spread remained between direct and sublease effective rents.

Capital markets also showed steady improvement. Average pricing per square foot rose to \$332, though transaction volumes remained modest. Distressed sales had yet to materialize en masse, as owners and lenders worked to manage risk and preserve stability.



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